

Bharat Heavy Electricals Limited

BHEL · Industrials / Capital Goods

ROE

1.15%

ROCE

3.21%

Net Profit Margin

1.18%

D/E

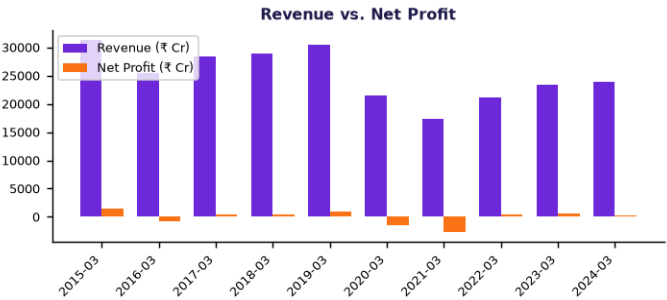
0.36

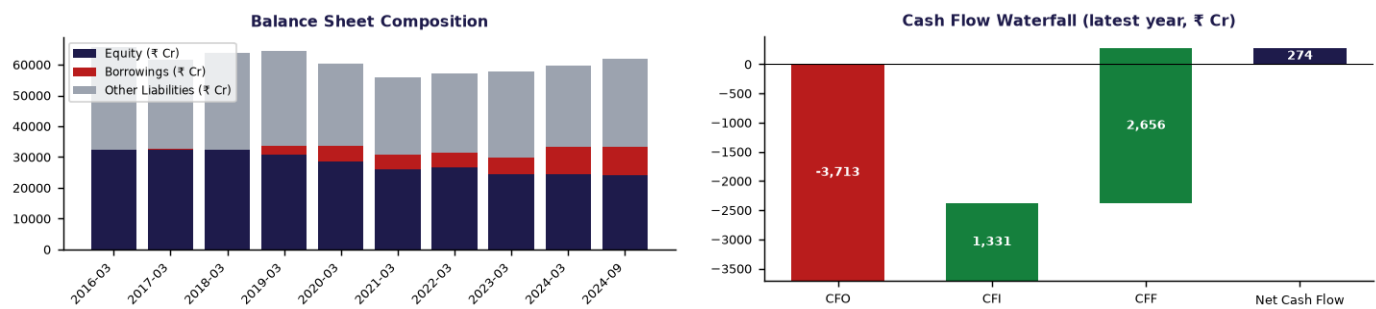
Revenue CAGR 5yr

-4.73%

FCF (Rs. Cr)

-2,382





Pros

✓ Very high interest coverage ratio reflects negligible financial stress from debt servicing (95% confidence)

Cons

- ✗ Revenue growing at below 5% over 5 years lags inflation and suggests limited business momentum (99% confidence)
- ✗ Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital (94% confidence)
- ✗ Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility (80% confidence)
- ✗ Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk (66% confidence)

Capital Allocation Pattern: **Distress Signal**